

Delegation of Authority and Approval Matrix

Policy code: POL-FIN-003 | Owner: Group Finance | Effective date: 1 April 2024 | Version: 1

1. Purpose

This policy sets out who may commit Meridian Instruments Ltd and its subsidiaries to spending, contracts and capital investment, and up to what value. It ensures that significant decisions receive the right level of scrutiny, and that no single person can both initiate and approve a commitment.

2. Scope

The matrix applies to all Meridian entities: Meridian Instruments Ltd (Leeds), Meridian Instruments B.V. (Rotterdam), Meridian Instruments Inc. (Austin) and Meridian Instruments Sdn. Bhd. (Penang). It covers operating expenditure, purchase requisitions, capital expenditure, contracts and write-offs. Employee travel and expense claims are approved under the Travel and Expense Policy (POL-FIN-007), and corporate card spend under the Corporate Card Policy (POL-FIN-009).

3. Principles

- Approval limits apply to the total value of the commitment over its full life, including all years of a multi-year contract, excluding VAT or sales tax.
- Commitments must not be split to fall under a lower approval limit.
- An approver may not approve a commitment from which they personally benefit, or one they have raised themselves.
- Approvers may only approve spend against cost centres for which they are responsible, or higher-level approvers above them in the hierarchy.
- Delegation of an approval limit during absence must be recorded in Atlas and may only be made to someone at the same level or above.

4. Operating expenditure and purchase requisitions

Purchase requisitions are raised and approved in Atlas under Atlas > Procurement > Purchase Requisition. Approval routes automatically by value.

Commitment value | Approver

Up to £5,000 | Budget holder
£5,000.01 to £25,000 | Head of Department
£25,000.01 to £100,000 | Finance Director
£100,000.01 to £500,000 | CFO
£500,000.01 to £1,000,000 | CEO
Above £1,000,000 | Board of Directors

Each level also requires the approval of the levels below it: for example, a £60,000 requisition is approved by the budget holder, the Head of Department and the Finance Director. Quotation and tender requirements are set out separately in the Procurement Manual (POL-FIN-012).

5. Capital expenditure

All capital expenditure over £1,000 must be submitted on a Capital Expenditure Request (F-420) with a business case, even where it is within the annual capital budget. Items below £1,000 are expensed.

Capex value | Approver

Up to £25,000 (in budget) | Head of Department

Up to £100,000 (in budget) | Finance Director

Up to £500,000 | CFO

Up to £1,000,000 | CEO

Above £1,000,000 | Board of Directors

Unbudgeted capital expenditure of any value requires CFO approval in addition to the approvals above.

6. Contracts

Contracts with customers, suppliers and partners may only be signed by an authorised signatory. Contracts with a total value up to £100,000 may be signed by the Head of Department or Finance Director, provided the underlying spend has been approved. Contracts with a total value above £100,000 must be signed by the CFO or CEO. All non-standard contracts must be reviewed by Legal and Compliance before signature.

7. Other approvals

Item | Approver

Bad debt write-off up to £10,000 | Finance Director

Bad debt write-off above £10,000 | CFO

Credit notes to customers above £5,000 | Finance Director

Charitable donations | CEO

Opening a bank account | CFO and CEO jointly

8. Currency conversion

Limits are expressed in pounds sterling. For commitments in other currencies, the value is converted at the Group budget exchange rate for the financial year. For FY2024/25 the budget rates are GBP 1 = EUR 1.16 = USD 1.25 = MYR 5.85. Atlas applies these rates automatically when routing approvals.

9. Breaches

Commitments made without the required approval may be cancelled and may be treated as a disciplinary matter. Suspected breaches should be reported to the Group Financial Controller.

10. Review

This matrix is reviewed annually by the CFO and approved by the Board. Questions should be sent to procurement@meridian-instruments.example for purchasing questions, or to the Group Financial Controller for any other matter.